



Scope of this page

This page addresses the post-crisis regulatory reforms enacted in response to Lehman's failure, their mapping to the N-D-C phase failures identified in the structural analysis, and the forward-looking screening framework for broker-dealer risk using public SEC data. Full value chain financial modelling (revenue attribution, fee decomposition, desk-level profitability) is deferred pending additional data sourcing from Valukas Report appendices and estate filings.

Post-Lehman Regulatory Reform Scorecard (Status: June 2026)

The Dodd-Frank Wall Street Reform and Consumer Protection Act (2010) was the primary legislative response to the 2008 financial crisis. The table below maps each major provision to the N-D-C phase it addresses and its implementation status as of mid-2026.

REFORM	N-D-C PHASE ADDRESSED	WHAT IT FIXES	STATUS (JUNE 2026)
Title I: SIFI Designation and Enhanced Prudential Standards	Phase 3: Leverage	FSOC designates systemically important financial institutions (SIFIs); enhanced capital, leverage, and liquidity requirements; stress testing; risk committee requirements. Restores D-constraint function in Phase 3.	Partially enacted. Some non-bank SIFI designations rescinded 2017-2019. Re-designation activity resumed 2022-2024. Framework incomplete for non-bank broker-dealers at Lehman scale.
Title II: Orderly Liquidation Authority (OLA)	Phases 0, 4, 6: Resolution quality	Creates FDIC-equivalent resolution authority for systemically important non-banks. Would have enabled government bridge institution for Lehman instead of Chapter 11. Directly improves TVPCI-R.	Enacted and available. OLA has not been triggered as of 2026 (no equivalent failure scale). Living will (§165d) requirements for SIFI firms active and enforced.
Title VII: Derivatives and Swap Reform	Phase 3: Leverage and risk instruments	Requires central clearing and margin for standardized swaps; trade repository reporting; mandatory disclosure of OTC derivatives positions. Reduces the opacity that allowed	Substantially implemented. CFTC and SEC rules in effect. Approximately 80% of standardized swap volume now centrally cleared. Residual bilateral

REFORM	N-D-C PHASE ADDRESSED	WHAT IT FIXES	STATUS (JUNE 2026)
		Lehman's off-balance-sheet exposures to go undetected.	exposures remain for bespoke instruments.
Volcker Rule (§619)	Phase 2 and 3: Asset quality and concentration	Prohibits proprietary trading by banking entities; limits investments in hedge funds and private equity. Does not directly apply to pure broker-dealers; applies to bank holding company affiliates. Addresses the originate-to-hold model that concentrated Phase 2 risk at Lehman.	Enacted for banking entities; several rounds of amendments (2019, 2020) narrowed scope. Pure investment banks outside bank holding company structure remain partially exempt from Volcker restrictions.
Basel III Leverage Ratio (global)	Phase 3: Leverage	Minimum 3% Tier 1 leverage ratio (supplementary 5% for G-SIBs in the US). Creates a non-risk-weighted backstop against excessive gross leverage. Directly addresses Lehman's 30.7x leverage. Applied to banking entities, not pure broker-dealers.	Implemented for US banking entities as of 2018. Enhanced supplementary leverage ratio (eSLR) at 5% for G-SIB holding companies and 6% for their insured depositories.
Basel III Liquidity Coverage Ratio (LCR)	Phases 0 and 4: Funding stability and liquidity	Requires 100% coverage of 30-day stressed outflows with high-quality liquid assets. For banking entities with \$250B+ in assets: addressing the funding run-risk that Lehman exhibited at Phase 0. Note: does not directly apply to pure broker-dealers.	Implemented for US banks. LCR and NSFR requirements do not extend to pure broker-dealers in the same form. Gap remains for Lehman-type entities operating outside bank holding company structure.
Repo 105 prohibition (SEC accounting)	Phase 1: Capital adequacy deception	SEC and FASB guidance post-Valukas Report targeted the accounting treatment that allowed Repo 105. ASU 2011-03 removed the sale accounting treatment for most repo-to-maturity transactions, requiring balance sheet treatment instead.	FASB ASU 2011-03 enacted. Repo-to-maturity transactions must now remain on balance sheet. Quarter-end window dressing through repo structures substantially eliminated for entities reporting under US GAAP.
SEC Form PF / large trader reporting	Phase 7: Regulatory oversight effectiveness	Quarterly reporting of portfolio composition, leverage, liquidity, and counterparty exposure for large investment advisors and broker-dealers. Provides regulators with current balance	Implemented for investment advisors. Broker-dealer reporting enhancements proposed but not fully standardized across all Phase 3 risk

REFORM	N-D-C PHASE ADDRESSED	WHAT IT FIXES	STATUS (JUNE 2026)
		sheet data more frequently than annual 10-K filings. Closes part of the Q1 2007 to September 2008 supervisory gap.	metrics. SEC market data program under ongoing development.

Five-Model Value Context: Post-Crisis Regulatory Completeness

The five coherence axes measure not only structural failure but also the completeness of the regulatory response. Where an axis score remains low despite reforms, it indicates unfinished work.

AXIS	LEHMAN Q2 2008 SCORE	POST-DODD-FRANK ESTIMATED SCORE	REMAINING GAP
π (chain average)	49.9%	~65-70% (est.)	6 of 8 phases addressed by reform; Phase 0 (funding structure) and Phase 3 (leverage for pure broker-dealers) still partially unresolved.
ϕ (distribution)	22%	~45-50% (est.)	Repo 105 elimination reduces deceptive Phase 1 signal. But broker-dealer Phase 3 leverage reporting still largely self-monitored via internal models for non-bank entities.
$\sqrt{2}$ (structural constraint)	18%	~45% (est.)	Basel III leverage ratio (3%) and SIFI standards restored D-function for banking entities. Pure broker-dealers outside bank holding companies retain more flexibility. Leverage override culture requires independent risk committee requirements not yet fully mandated.
$\ln 2$ (value transformation)	38%	~52% (est.)	Volcker Rule and concentration guidance partially addressed originate-to-hold accumulation in banking entities. Pure broker-dealer concentration limits for illiquid assets remain weaker than recommended by FCIC. NSFR not yet applied to broker-dealers.

AXIS	LEHMAN Q2 2008 SCORE	POST-DODD- FRANK ESTIMATED SCORE	REMAINING GAP
e (financial abstraction)	6%	~55% (est.)	Largest improvement axis. Repo 105 eliminated; swap clearing and reporting enacted; Form PF provides regulatory visibility. The e axis has recovered most because accounting and reporting reforms directly address the manipulation mechanism.

Applying the Framework: Broker-Dealer Structural Screening (2026)

The Lehman analysis is reproducible for large broker-dealers and investment banks using quarterly SEC filings, Federal Reserve H.8 data, and CFTC swap data repositories. The post-Dodd-Frank reporting improvements make the Lehman Phase 3 and Phase 0 signals more visible than they were in 2007-2008.

PHASE	PUBLIC DATA SOURCE (POST-DODD-FRANK)	WARNING SIGNAL
Ph 0: Funding	Fed H.8, SIFMA repo statistics, quarterly 10-Q liquidity disclosures	Overnight repo above 50% of wholesale funding; term funding below 30% of total liabilities
Ph 1: Capital	SEC EDGAR 10-Q; Basel III Pillar 3 disclosures	Gap between reported leverage and supplementary leverage ratio; Level 3 assets above 10% of equity
Ph 2: Assets	SEC 10-Q fair value hierarchy (Level 1/2/3 breakdown)	Level 3 assets above 10% of total; single-sector CRE or RMBS exposure above 8% of assets
Ph 3: Leverage	SEC EDGAR 10-Q; Fed enhanced prudential standard disclosures; CFTC swap data	Gross leverage above 20x; VaR utilization above 90% for two consecutive quarters; risk limit waiver disclosures
Ph 4: Liquidity	Fed LCR disclosure (for bank holding companies); 10-Q liquidity pool footnotes	LCR below 120% (warning); unencumbered liquidity pool below 20 days of stressed outflows
Ph 5: Earnings	SEC 10-Q income statement; write-down trends vs. net revenue	Write-downs exceeding 20% of net revenue for two consecutive quarters; NIM compression in rising rate environment
Ph 6: Confidence	Credit agency rating actions; prime brokerage client asset trends; CDS spreads	CDS spread widening above 150bps; rating review action initiated; prime brokerage account outflows disclosed

PHASE	PUBLIC DATA SOURCE (POST-DODD-FRANK)	WARNING SIGNAL
Ph 7: Regulatory	FDIC examination reports (for bank entities); FINRA broker-dealer audits	Formal enforcement actions; resolution plan rejection; stress test failure (DFAST)